

Chapter 14

Invest in Real Estate

"There have been few things in my life which have had a more genial effect on my mind than the possession of a piece of land." –Harriet

Martineau

Investors commonly compare investing in paper assets (i.e., stocks and bonds) with real estate to convince others that one path is better than the other. It's like debating whether apples are better than oranges. It's an impossible argument. They're just different. Real estate provides a hybrid investment path combining the characteristics of passive investments with the characteristics of a business or a job.

Your efforts can add value just as with any other business investment. Let's start by looking at two elements of real estate investing that can enable you to get higher returns than might be expected with passive investments: sweat equity and leverage.

Sweat Equity